

Key Indicators:

Date: Jul 6, 2026

Stock Price \$26.6

52-Week Range	\$23.7 - \$38.2	EPS Revisions (90d)	↑ 0 ↓ 8	Revenue	\$13.8B
Market Cap	\$6.8B	PEG Ratio	-0.52	Revenue Forecast	\$13.9B
P/E Ratio	13.1	FCF Yield	11.9	1-Year Change	-28.5%
P/E (Fwd.)	8.89	EV / EBITDA	7.81	Div Yield	4.52%
EPS Actual	3.01	Book / Share	25.3	Div. Growth Streak	-
EPS Estimate	2.99	Beta (5Y)	0.82	Next Earnings	2026-07-23

5-Year Chart



Executive Summary

Warren AI

LKQ Corporation (NASDAQ: LKQ) is a leading global distributor of alternative and specialty automotive parts — including OEM recycled, aftermarket, and remanufactured components — operating across North America, Europe, and Taiwan.

LKQ delivered a **mixed Q1 2026 performance**, reporting revenue of **\$3.47 billion** (up 4.3% YoY, beating estimates of \$3.4B) while adjusted EPS of **\$0.67** narrowly missed the \$0.68 forecast, declining 9.5% YoY. Headwinds from fuel costs, bad debt provisions, and pricing pressures weighed on margins, with North America segment EBITDA at 14.1% (down 130bps YoY) and Europe at 7.8% (down 150bps YoY). Free cash flow was **negative \$96 million** in Q1, though management expects positive cash flow for the remainder of 2026.

On the **bullish side**, North America organic revenue decline improved to -0.5% (vs. -4.1% in Q1 '25), alternative parts utilization reached a record ~40%, and the Specialty segment posted a third consecutive quarter of positive organic growth (+3.4%). Management reaffirmed full-year guidance of **adjusted EPS of \$2.90–\$3.20** and free cash flow of **\$700M–\$850M**. The company also highlighted green shoots including rising used car values, easing insurance premiums, and declining total loss rates.

On the **bearish side**, **8 analysts revised EPS estimates downward** over the past 90 days, the stock has declined ~35% over the past year, and the potential Specialty segment sale faces delays due to tightening credit markets. Europe remains challenged by soft demand and competitive pricing, and a **\$500 million term loan** came current at Q1-end requiring refinancing.

Valuation metrics appear compelling: the stock trades at a **forward P/E of 8.89x** for FY26 versus a fair value estimate of \$35.43, with a **4.52% dividend yield** and analyst consensus target of **\$40.81**. An ongoing **strategic review** — with Bank of America and Goldman Sachs engaged — could unlock meaningful shareholder value. Growth rating stands at a modest 3/10, though profitability is rated 6/10.

Fair Value

Upside	33.4%
Fair Value	\$35.4

Financial Health

3.3/10
Growth Rating
5.8/10
Profitability Rating
4.7/10
Cash Flow Rating

Financial health is determined by ranking the company on over 100 indicators compared to other companies in its sector that operate in similar economic markets.

Valuation					
Reporting Date	2023	2024	2025	2026	2027
Period Ending	31/12	31/12	31/12	31/12	31/12
Capitalization	\$12.8B	\$9.6B	\$7.7B	\$6.8B	\$6.8B
P/E Ratio	13.4	13.7	11.1	8.89	8.09
Div. Yield	2.73	3.45	4.06	4.52	-
Capitalization / Revenue	0.96	0.68	0.55	0.49	0.47
EV / Revenue	1.34	1.05	0.90	0.83	0.81
EV / EBITDA	10.4	8.81	7.76	7.75	7.27
EV / FCF	23.8	14.6	23.1	-	-
FCF Yield	8.42	7.83	9.34	-	-
Price / Book	2.15	1.53	1.18	1.05	-

- Forecast

Pro Tips

Tips that distill complex financial data into concise, actionable investment insights.

-  High shareholder yield

 Liquid assets exceed short term obligations

 Analysts predict the company will be profitable this year

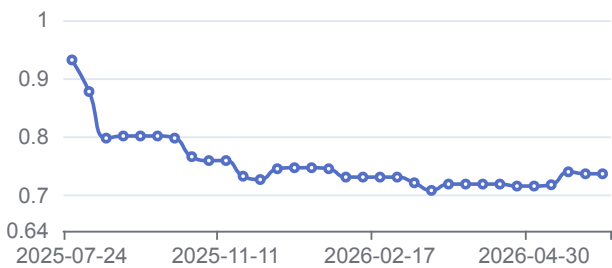
 Profitable over the last twelve months
-  8 analysts have revised their earnings downwards for the upcoming period

Analyst Projections:

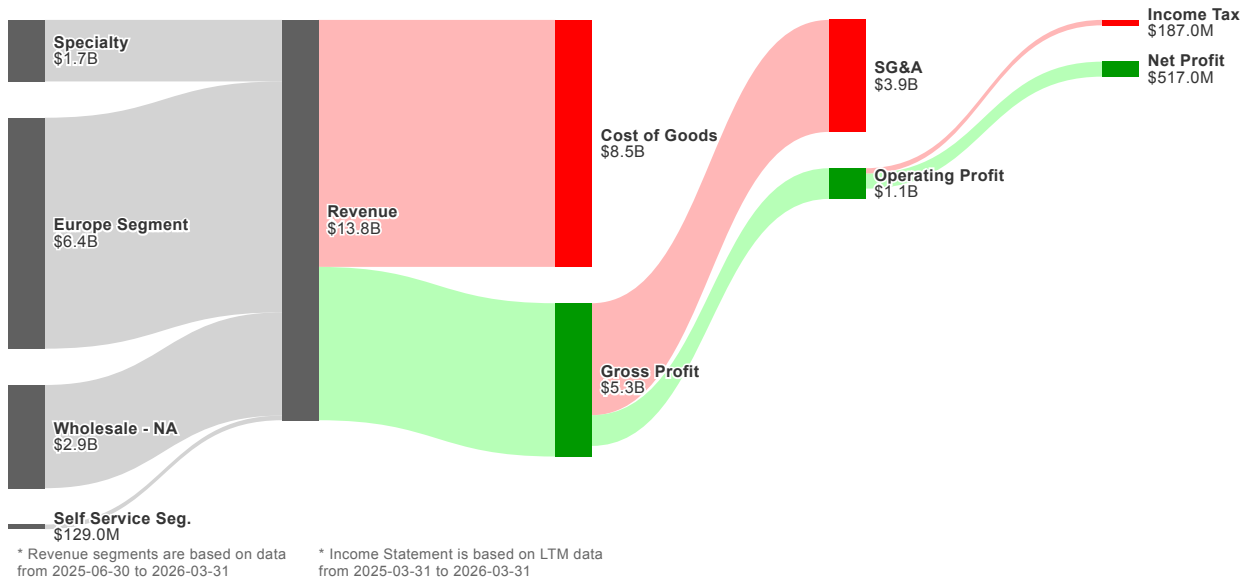
Analyst EPS Forecasts

Period Ending	Average	YoY Growth	Forward P/E	# of Analysts
2026	2.99	-1.4%	8.9x	9
2027	3.28	12.0%	8.1x	9
2028	3.44	6.5%	7.7x	1

EPS Revisions Q2 2026



Y LTM Financials:



Income Statement

Date	2022	2023	2024	2025	LTM
Revenue	12,794	13,269	13,823	13,651	13,793
Operating Income	1,442	1,392	1,258	1,086	1,058
Net Income to Stockholders	1,149	936.0	690.0	607.0	517.0
Shares Outstanding	267.2	267.6	260.0	256.0	254.8
Diluted EPS	4.13	3.49	2.62	2.35	2.01
EBITDA	1,706	1,695	1,649	1,495	1,470

Balance Sheet

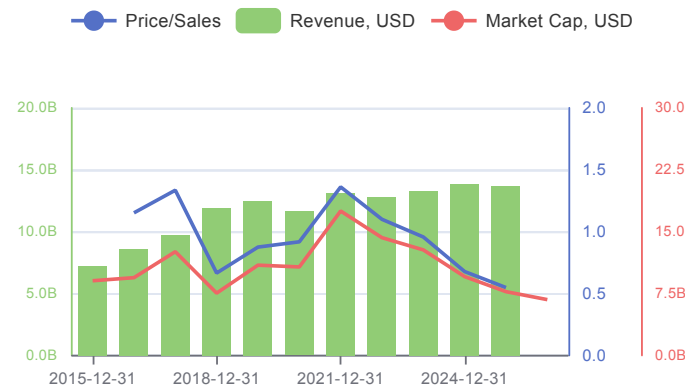
Date	2022	2023	2024	2025	LTM
Total Current Assets	4,258	4,868	4,906	5,248	5,475
Total Assets	12,038	15,079	14,955	15,137	15,139
Total Current Liabilities	2,271	3,318	2,862	3,137	3,547
Total Liabilities	6,547	8,898	8,923	8,576	8,649
Total Equity	5,491	6,181	6,032	6,561	6,490
Total Debt	3,935	5,640	5,478	5,061	5,236

Cash Flow Statement

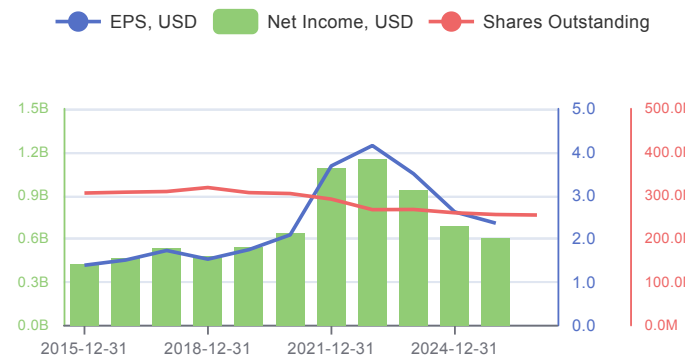
Date	2022	2023	2024	2025	LTM
Cash from Operations	1,250	1,356	1,121	1,063	1,010
Cash from Investing	172.0	-2,442	-406.0	185.0	193.0
Cash from Financing	-1,394	1,102	-746.0	-1,191	-1,120
Levered Free Cash Flow	0.0	0.0	0.0	0.0	0.0

*In USD millions, except number of shares, which are reflected in thousands, and per share amounts.

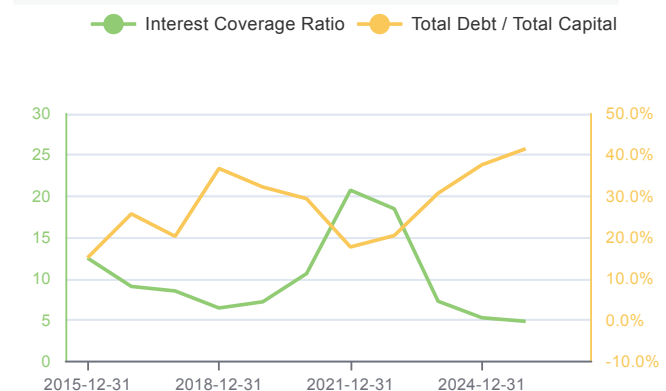
Revenue, Market Cap, Price/sales



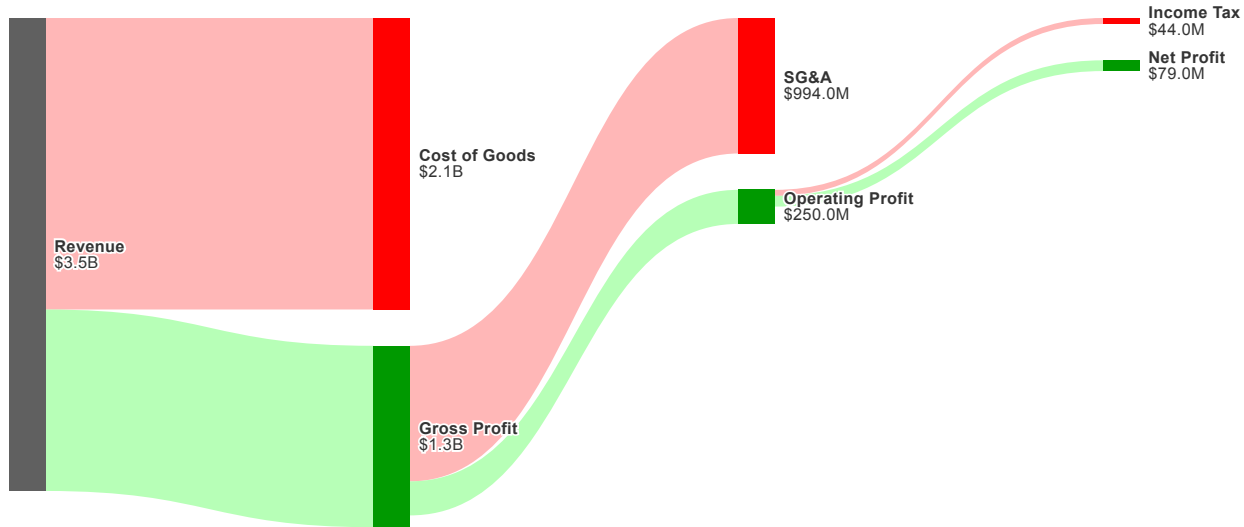
Net Income, EPS, Shares



Leverage and Debt



Q1 Financials



* Income Statement is based on LTM data from 2026-03-31

Income Statement

Date	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026
Revenue	3,327	3,513	3,499	3,312	3,469
Operating Income	278.0	307.0	288.0	213.0	250.0
Net Income to Stockholders	169.0	192.0	180.0	66.0	79.0
Shares Outstanding	258.6	258.1	257.3	256.0	255.2
Diluted EPS	0.65	0.74	0.70	0.25	0.31
EBITDA	374.0	416.0	386.0	319.0	349.0

Balance Sheet

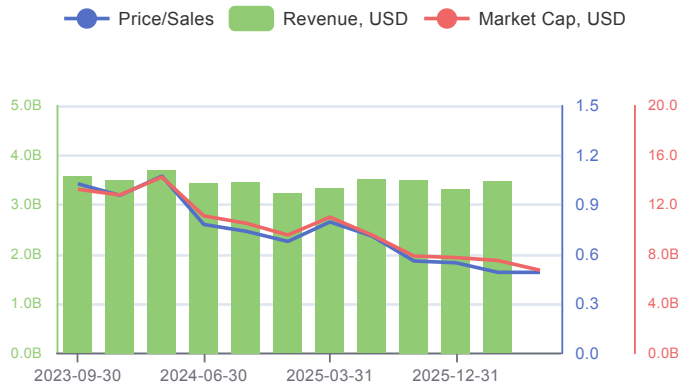
Date	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026
Total Current Assets	5,339	5,465	5,715	5,248	5,475
Total Assets	15,469	15,944	15,600	15,137	15,139
Total Current Liabilities	3,516	3,012	3,581	3,137	3,547
Total Liabilities	9,280	9,401	9,021	8,576	8,649
Total Equity	6,189	6,543	6,579	6,561	6,490
Total Debt	5,846	5,921	5,505	5,061	5,236

Cash Flow Statement

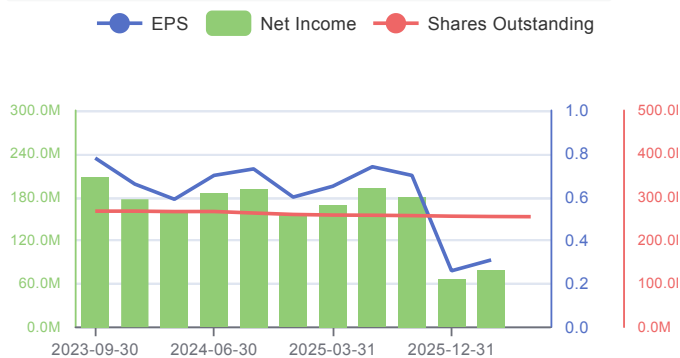
Date	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026
Cash from Operations	-3.0	296.0	440.0	330.0	-56.0
Cash from Investing	-50.0	-49.0	-45.0	329.0	-42.0
Cash from Financing	40.0	-209.0	-393.0	-629.0	111.0
Levered Free Cash Flow	-0.0	0.0	0.0	0.0	-96

*In USD millions, except number of shares, which are reflected in thousands, and per share amounts.

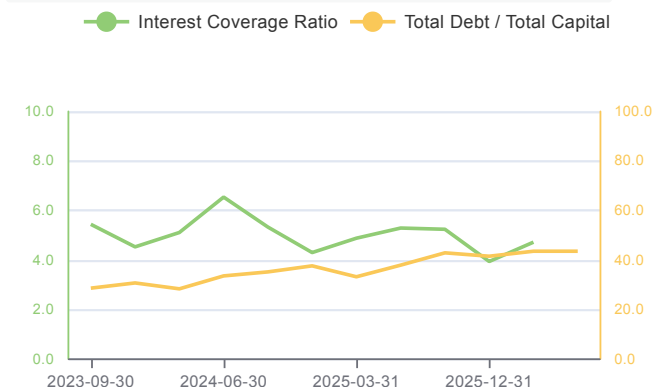
Revenue, Market Cap, Price/sales



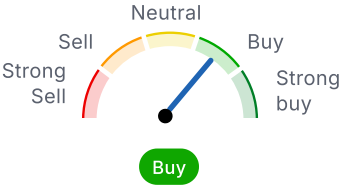
Net Income, EPS, Shares



Leverage and Debt



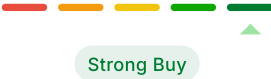
Momentum & Technical Indicators

Price Momentum				Peers		Technical Summary
Metric	LKQ	Percentile	Score	LEA	GNTX	
Price % of 52 Week High	69.6%	32.6%	1.6	87.5%	84.7%	
1 Week Price Total Return	-1.8%	23.6%	1.2	-4.4%	-4.4%	
2 Week Price Total Return	2.9%	65.3%	3.3	-6.4%	-5.5%	
3 Week Price Total Return	1.3%	51.4%	2.6	-9.9%	-5.2%	
1 Month Price Total Return	5.3%	69.3%	3.5	-7.5%	-0.5%	
3 Month Price Total Return	-4.7%	33.6%	1.7	11.0%	14.6%	
6 Month Price Total Return	-12.6%	27.2%	1.4	9.5%	1.9%	
1 Year Price Total Return	-28.5%	14.5%	0.7	29.6%	8.1%	
2 Year Price Total Return	-31.2%	18.9%	0.9	22.2%	-24.1%	
3 Year Price Total Return	-49.3%	14.8%	0.7	-1.4%	-12.3%	
4 Year Price Total Return	-40.0%	22.0%	1.1	14.4%	-6.4%	
5 Year Price Total Return	-40.0%	32.1%	1.6	-16.7%	-20.3%	

Moving Averages



Technical Indicators



The Moving Average Score is based on various moving averages, both simple and exponential, with ranges from 5 to 200.

The Technical Score is calculated based on key technical indicators, including RSI, Stochastic, MACD, Williams %R, CCI, ATR, Highs/Lows, Ultimate Oscillator, ROC, and Bull/Bear Power, among others.

Peer Benchmarks:

Market and Yield Metrics				Financial Statement Metrics			
Metric	LKQ	LEA	GNTX	Metric	LKQ	LEA	GNTX
Market Cap	\$6.8B	\$6.6B	\$5.2B	Revenue	\$13.8B	\$23.5B	\$2.6B
Price % of 52 Week High	66.8%	87.0%	83.4%	Gross Profit	\$5.3B	\$1.8B	\$906.5M
Div Yield	4.52%	2.35%	1.96%	Operating Income	\$1.1B	\$1.1B	\$502.7M
Beta	0.82	1.26	0.78	Gross Profit Margin	38.3	7.63	34.4
1 Year Return	-28.5%	29.6%	8.14%	Net Income to Common	\$515.0M	\$528.4M	\$382.5M

Growth Metrics				Valuation Metrics			
Metric	LKQ	LEA	GNTX	Metric	LKQ	LEA	GNTX
Revenue Growth	2.57%	2.84%	14.5%	P/E Ratio (LTM)	13.1	12.4	13.6
Revenue CAGR (5y)	3.26%	6.41%	8.46%	PEG Ratio	-0.52	0.77	3.63
Net Income Growth	-26.2%	10.6%	-0.69%	Price / Book	1.05	1.29	2.09
Net Income CAGR (5y)	-0.99%	22.5%	2.06%	Price / LTM Sales	0.49	0.28	1.98
Revenue Forecast CAGR (5y)	2.79%	2.70%	5.66%	Analyst Upside	54.4%	10.8%	14.2%
Net Income Forecast CAGR (5y)	12.4%	18.1%	10.2%	Fair Value Upside	33.4%	1,567.0%	3,381.0%

Latest Insights

WarrenAI

Bull Case

- North America organic revenue decline improved to -0.5% in Q1 '26 from -4.1% in Q1 '25 and -1.0% in Q4 '25, signaling a gradual recovery and market share gains.
- Alternative parts utilization (APU) reached a record high of nearly 40% through February '26, supported by deepening MSO integrations that automate ordering and structurally drive higher alternative parts adoption.
- The Specialty segment delivered its third consecutive quarter of positive organic revenue growth at +3.4%, with RV revenue growing nearly double digits and strong Marine performance.
- Management reaffirmed FY26 guidance: adjusted EPS of \$2.90–\$3.20, organic revenue growth of -0.5% to +1.5%, and free cash flow of \$700M–\$850M, with \$50M+ in annual cost savings expected.
- The stock trades at a forward P/E of 8.89x for FY26 and 8.09x for FY27, well below fair value estimates of \$35.43, with a 4.52% dividend yield and analyst median target of \$40.81.
- An ongoing strategic review with Bank of America and Goldman Sachs could unlock significant shareholder value, with some analysts citing potential takeover valuations in the low-to-mid \$50s per share.

Bear Case

- Adjusted EPS fell 9.5% YoY to \$0.67 in Q1 '26, missing estimates, with 8 analysts revising earnings downward over the past 90 days and zero upward revisions, reflecting persistent profitability pressure.
- Free cash flow was -\$96 million in Q1 '26, worse than -\$57 million in Q1 '25, and a \$500 million term loan came current at Q1-end, requiring refinancing and potentially constraining financial flexibility.
- Europe remains challenged: segment EBITDA declined 150bps to 7.8%, organic volumes were pressured, and key markets including the U.K. and Italy were down YoY, while competitive pricing persists.
- The potential Specialty segment sale faces delays due to tightening credit markets from geopolitical tensions, introducing uncertainty around the timing of any capital return event.
- The long-term shift toward EVs — which require ~60% less parts and maintenance value than ICE vehicles — poses a structural threat to LKQ's core business model if adaptation is insufficient.
- The stock has declined approximately 35% over the past year, with a 1-year change of -28% per internal metrics, and the PEG ratio of -0.52 reflects near-term earnings contraction.

Additional Insights

- LKQ's ERP migration in a key European market was completed in early April '26, progressing ahead of initial expectations; while short-term sales disruption was anticipated, the project supports Pan-European standardization and long-term cost reduction.
- Two tuck-in acquisitions in Europe totaling \$5 million were completed in Q1 '26 — one focused on EV battery repair and remanufacturing, and another on electronic component remanufacturing — signaling a strategic pivot toward EV-adjacent capabilities.
- The calibration and diagnostics business (Elitek) delivered strong organic growth; the share of collision repairs requiring calibration has risen to ~75% from ~62% three years ago, representing a durable long-term tailwind.
- Private label penetration in Europe reached 25.3% in Q1 '26 (up from 25.1% in Q4 '25), with plans to ratchet pricing upward through '26 with full effect in '27, targeting 30% penetration over coming years.
- Tariff impacts (primarily Section 232) accounted for nearly the entire EBITDA margin decline YoY in North America wholesale; management expects year-over-year margin comparisons to normalize in H2 '26 as tariff cost anniversaries are lapped.
- Used car values rose 3.6% through Q1 '26, including a 6.2% jump in March alone, directly improving repairable claim rates in near real time and supporting LKQ's volume recovery thesis.

SWOT Analysis

WarrenAI

Strengths

- LKQ holds a dominant global market position as a leading distributor of alternative automotive parts with an extensive distribution network across North America, Europe, and Taiwan.
- Diversified product offerings — OEM recycled, aftermarket, remanufactured, and specialty parts — reduce reliance on any single revenue stream and support resilience across economic cycles.
- Strong relationships with insurance companies and MSOs provide recurring, stable revenue; MSOs are higher utilizers of alternative parts, enhancing both margin dollars and operational efficiency.
- The company maintains an investment-grade balance sheet with a leverage ratio of 2.6x EBITDA and an effective interest rate of 5.0%, supporting financial stability and continued capital returns.

Weaknesses

- Profitability is under pressure: adjusted EPS declined 9.5% YoY in Q1 '26, North America EBITDA margins fell 130bps, and Europe EBITDA margins fell 150bps, with a growth rating of only 3/10.
- Organic volume growth remains sluggish across segments, with North America still in slight decline and Europe facing persistent demand softness and competitive pricing pressure.
- A significant portion of revenue is tied to ICE vehicle parts, leaving LKQ structurally exposed to the long-term EV transition, which could reduce parts and maintenance demand by ~60% per vehicle.
- Integration complexity across dozens of European ERP systems creates operational inefficiencies, infrastructure risk, and limits the ability to leverage Pan-European scale.

Opportunities

- The ongoing strategic review — with Bank of America and Goldman Sachs engaged — could result in a company sale, Specialty segment divestiture, or other value-unlocking transactions, with potential takeover valuations cited in the low-to-mid \$50s per share.
- EV-adjacent capabilities, including the newly acquired EV battery remanufacturing and electronic component businesses in Europe, position LKQ to capture emerging aftermarket demand as EV penetration grows.
- The 'calibration and diagnostics' opportunity is expanding rapidly, with 75% of collision repairs now requiring calibration vs. 62% three years ago, offering a durable and high-margin service growth avenue.
- Continued private label expansion in Europe (targeting 30% penetration) and pricing normalization in '27 represent a meaningful margin improvement lever as customer confidence in branded products grows.

Threats

- The long-term structural shift to EVs, which have significantly fewer moving parts and ~60% lower parts/maintenance value versus ICE vehicles, poses an existential risk to LKQ's traditional revenue base if the business model does not adapt quickly enough.
- Tariffs (primarily Section 232), geopolitical tensions, and trade policy uncertainty continue to inflate input costs and compress margins, particularly in North America wholesale operations.
- Macroeconomic headwinds — including inflation, rising fuel costs, and bad debt provisions — pressure margins and consumer spending on vehicle repairs, with Europe particularly exposed to soft demand.
- Intense competition from local, national, and online automotive parts providers, combined with competitive pricing environments in key European markets, limits LKQ's ability to fully pass through cost increases.

Earnings Call - Q1 2026

04/30/26 | WarrenAI

- Q1 '26 revenue of \$3.47B rose 4.3% YoY, beating estimates of \$3.4B, driven by favorable FX and higher commodity prices, while adjusted EPS of \$0.67 missed the \$0.68 forecast by 1.47%.
- Full-year '26 guidance was reaffirmed: organic revenue -0.5% to +1.5%, adjusted EPS \$2.90-\$3.20, and free cash flow \$700M-\$850M, with \$50M+ in annual cost savings expected.
- Free cash flow was -\$96M in Q1 (vs. -\$57M in Q1 '25), consistent with seasonal patterns; management expects positive FCF in each remaining quarter of '26.

Bullish Highlights

- North America organic revenue decline improved to -0.5% in Q1 '26 from -4.1% in Q1 '25, with management citing market share gains and record APU of ~40% through February.
- Specialty segment delivered 3.4% organic revenue growth — its third consecutive positive quarter — with RV revenue up nearly double digits and strong Marine performance.
- Elitek (calibrations/diagnostics) delivered strong organic growth; calibration requirements now apply to ~75% of collision repairs, up from ~62% three years ago.
- Used car values rose 6.2% in March alone, directly driving near-term improvement in repairable claim rates; non-comprehensive total loss rates are declining and insurance premiums are easing.
- Private label penetration in Europe reached 25.3%, with sequential margin improvement noted; pricing increases are planned through '26 with full effect in '27.

- The company maintains a leverage ratio of 2.6x EBITDA and returned \$77M to shareholders via dividends in Q1; no share repurchases occurred in Q1 due to leverage and FCF timing.
- A strategic review is underway with Bank of America and Goldman Sachs; no immediate update is expected, but management emphasized urgency and thoroughness.

Bearish Highlights

- Adjusted EPS of \$0.67 declined 9.5% YoY, impacted by higher fuel costs, bad debt provisions, and pricing/mix pressures; GAAP diluted EPS was \$0.30, including a \$0.17/share Mekonomen equity investment impairment.
- North America segment EBITDA margin fell 130bps YoY to 14.1%, primarily due to tariff pass-through dilution and customer mix; Europe EBITDA declined 150bps to 7.8% on competitive pricing and higher input costs.
- Free cash flow deteriorated to -\$96M from -\$57M in Q1 '25, partly due to the absence of self-service (sold in '25) which historically generated positive Q1 FCF.
- The \$500M term loan came current at Q1-end, requiring extension or refinancing; the Specialty segment sale process faces delays due to tightening credit markets from geopolitical tensions.

Q&A Highlights

- On MSO integrations (Baird): Automated ordering systems at MSOs drive higher APU and LKQ share of wallet; MSOs use significantly more alternative parts per rooftop than non-MSOs, benefiting both margin dollars and efficiency.
- On repairable claims recovery (Barclays): Used car price increases (e.g., +6.2% in March) provide the most real-time boost to repairable claims; easing insurance premiums are a slower-moving but structural tailwind.
- On ERP migration (Barclays): The European ERP conversion completed in early April with 100% branch representation during Easter Monday training; daily improvements in sales levels are being observed post-conversion.
- On tariffs (Roth Capital): IEEPA tariffs had minimal impact; Section 232 remains the primary driver and has been largely stable; teams are actively passing through cost increases to customers.
- On capital allocation (Jefferies): Management is committed to the dividend and expects share repurchases to resume throughout the remainder of '26 at a reasonable level, consistent with prior-year cadence.

Misses

- Adjusted EPS of \$0.67 missed the consensus estimate of \$0.68 by \$0.01 (a -1.47% negative surprise), marking a 9.5% YoY decline driven by fuel, bad debt, and pricing headwinds.
- Free cash flow of -\$96M was worse than the prior year's -\$57M, reflecting the loss of self-service FCF contribution and higher working capital build.
- Europe organic volumes remained under pressure with no meaningful recovery in Q1, and the Specialty segment sale process has been delayed without a clear timeline for resolution.
- The \$0.17/share non-cash impairment on the Mekonomen equity investment reduced GAAP EPS to \$0.30, well below adjusted figures, highlighting ongoing challenges with that investment.

Top News, last 60 days:**[LKQ Corporation Stock Hits 52-Week Low at \\$27.22, Down 35% Over Past Year](#)**

May 12, 2026

- LKQ Corporation's stock reached a new 52week low of \$27.22, nearly 36% below its 52week high of \$42.67, with the stock declining 35.27% over the past year.
- The company has a \$6.95 billion market cap and trades at a P/E ratio of 13.7, with InvestingPro analysis indicating it appears undervalued at current levels.
- Eight analysts have revised their earnings downwards for the upcoming period, adding pressure to investor sentiment.
- LKQ reported Q1 2026 adjusted EPS of \$0.67 (below forecast of \$0.68) but revenue of \$3.47 billion (surpassing expectations of \$3.4 billion).

Importance - 4/10

Negative

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